

RALPH WANGER

another record, but the S&P 500 dropped an astonishing 20 percent, so by comparison we appeared to be in great shape.

Tuesday, October 20

The wild sailing continued today. David Hale of Kemper claimed that computers were jumping out of the windows in Chicago and New York. Our trading was even heavier than on Monday, \$8 million of buys and an equal value of sells, involving twenty different stocks. Our wish list was doing its job, guiding us to a buy of forty thousand Cray Research at 48, down from 85 in two days. Cray was back to 73 a few hours later. The market took off in a strong rally, but to my dismay, only in the blue chips. Many over-the-counter stocks had been locked out of trading on Monday and were collapsing on Tuesday as a catch-up move. The S&P 500 closed up 5 percent, but Acorn, like the Value Line Index, was down 7 percent, reversing all of the relative gain of Monday.

Wednesday, October 21

The rally continued, with the S&P 500 rising a record 21.51 points. Acorn went up, but a lot less than the market. Emotionally, the two-day adrenaline rush was over. I was exhausted and upset. The last three days felt like a month. Our trading was still very active. I had bought futures to cover our short position late yesterday—not very well timed—but resold them in the afternoon at an excellent profit. The rally looked as tired as I was.

Thursday, October 22

The rally was over. The market started down in the morning, with delayed openings on many key stocks. I sold some more futures. The market closed down 4 percent, on nearly 400 million shares. By this week's standards, a quiet day.

After the Shock

For the five trading days Friday to Thursday, the S&P 500 and Acorn both went down 17 percent, with no sign that the drop was over. Some things had worked. Net redemptions for the week were only